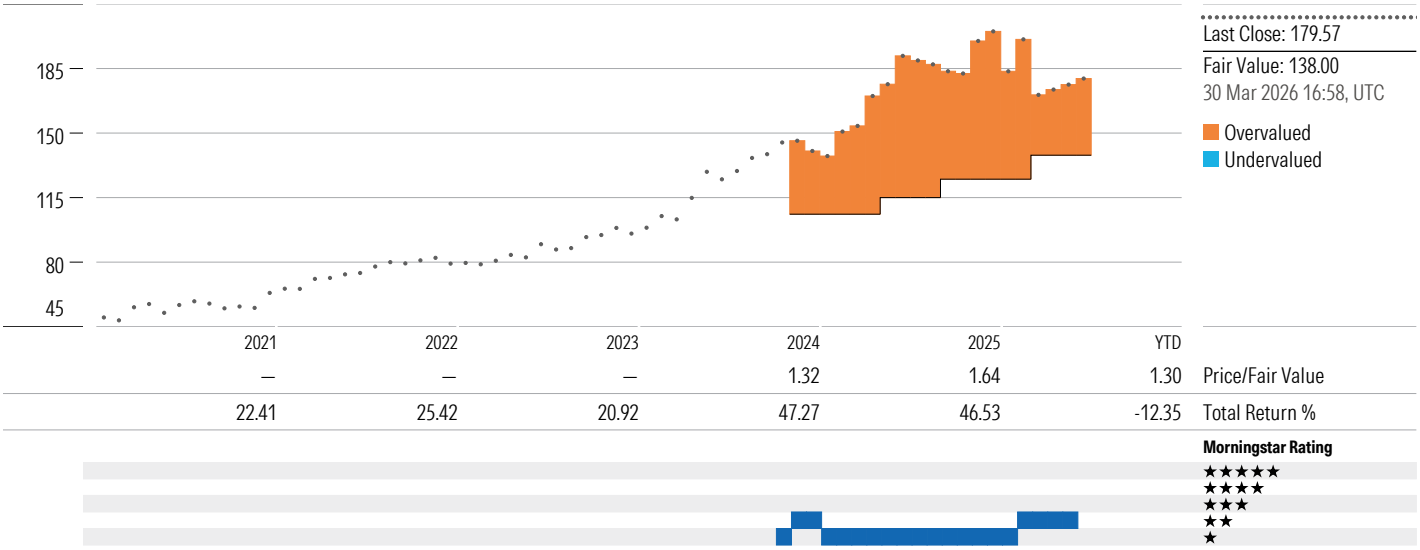
Dollarama Inc DOL ★ 11 Jun 2026 21:48, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
179.57 CAD 10 Jun 2026	138.00 CAD 30 Mar 2026 21:58, UTC	1.30	53.29 CAD Bil 11 Jun 2026	Narrow	Large Growth	Medium	Standard

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	—	—	—	1.32	1.64	1.30	Price/Fair Value
	22.41	25.42	20.92	47.27	46.53	-12.35	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 30 Mar 2026 16:58, UTC.

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The primary analyst covering this company does not own its stock.

'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Dollarama Earnings: Canadian Strength Masks Australian Underperformance; Shares Overvalued

Analyst Note Brett Husslein, Analyst, 11 Jun 2026

Dollarama's first-quarter results included 21.4% sales growth, driven by a 5.6% rise in same-store sales. EBITDA margin, however, contracted 100 basis points to 31.6% due to Australia's (10% of sales) mix headwinds and elevated operating expenses as the business transitions to Dollarama's sourcing.

Why it matters: Canada's (90% of sales) strong performance reinforces our conviction in Dollarama's merchandising ability and value proposition. Traffic rose 3.5% and ticket was up 2.0%. These results signal deepening wallet share among value-conscious households.

- Dollarama reiterated its 3%-4% same-store sales growth outlook for its Canadian segment in fiscal 2027, which is in line with our 3.5% expectation. We see an acceleration to 4%-5% over the next decade on increases in the number and size of transactions.
- The firm announced that a distribution center will open in Calgary by the end of calendar 2027 to support growth in underpenetrated Western Canada (40% of new stores over the past two years). We expect this expansion to contribute to 8% average revenue growth over the next decade.

The bottom line: We plan to increase our CAD 138 fair value estimate for narrow-moat Dollarama by a low-single-digit percentage due to the time value of money. Despite this expected change, we view shares, which rose 9% on the report on June 11, as very overvalued.

- In our view, the market is pricing in a successful turnaround in Australia in the near term, though we

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Sector	Industry
Consumer Defensive	Discount Stores

Business Description

Dollarama is Canada's largest dollar store chain that sells a broad range of everyday consumables and household items at low fixed price points, currently capped at CAD 5. General merchandise and consumables make up 90% of total sales, and the rest is from festivity-related seasonal items. The retailer operates close to 1,700 stores across Canada, mostly in convenient locations in metropolitan areas, midsize cities, and small towns. It also holds a 60% stake in South American value retailer Dollarcity, which operates more than 600 stores across Colombia, Guatemala, El Salvador, Peru, and Mexico. In 2025, the firm closed its CAD 234 million acquisition of Australian retail chain The Reject Shop, which operates about 400 stores.

remain cautious. With only half of the transition to imported items expected to be completed by the end of fiscal 2027, the shift to value focused fare remains in the early stages.

Key stats: Dollarama opened 28 net new stores under its Canadian banner in the period, bringing its total to 1,719. The firm appears to be on pace with its plan for 60-70 net new stores in fiscal 2027, which reflects strong execution.

Business Strategy & Outlook Brett Husslein, Analyst, 30 Mar 2026

We believe Canadian dollar store chain Dollarama has built a narrow economic moat around its business thanks to intangible assets and scale-driven cost advantages. This can be seen in its impressive record of strong sales expansion and steady margins, thanks to its ability to combine value and convenience that appeal to busy shoppers operating on a constrained budget.

In our view, the retailer has a prudent growth road map for the coming years. Backed by strong merchandising and sourcing capabilities, in addition to analytics of consumer data, the retailer is well positioned to keep broadening the fixed price points to diversify its product assortment and boost shopper traffic and average basket size. After decades of success in Quebec and Ontario, Dollarama has ramped up new store openings in underpenetrated western Canada, which accounts for over 40% of new stores in the past two years, up from 26% previously. A less crowded retail market in western Canada should bode well for sales expansion. The growth initiative demands significant capital investments in warehousing and distribution capacities, including the new distribution center in Calgary. We expect the firm to have sufficient financial resources to fund these projects, given reasonable net leverage and steady free cash generation. Its expansion in Latin America through investments in Dollarcity should further add to its growth trajectory. That said, we are less constructive on its acquisition of The Reject Shop in Australia in 2025, given its lack of familiarity with local consumers.

We see several challenges, however. Management's target of 2,200 stores by 2034 looks achievable, but in its traditional stronghold of Quebec and Ontario, where it already has over 1,000 stores, we envision more difficulty in finding suitable new locations that can deliver solid sales performance without cannibalizing existing stores. Moreover, we see competition heating up from e-commerce retailers, including Amazon's new initiative on value offerings. That said, we think Dollarama's experienced management team, led by CEO Neil Rossy, should be able to navigate the challenges and keep the retailer on the growth track.

Bulls Say Brett Husslein, Analyst, 30 Mar 2026

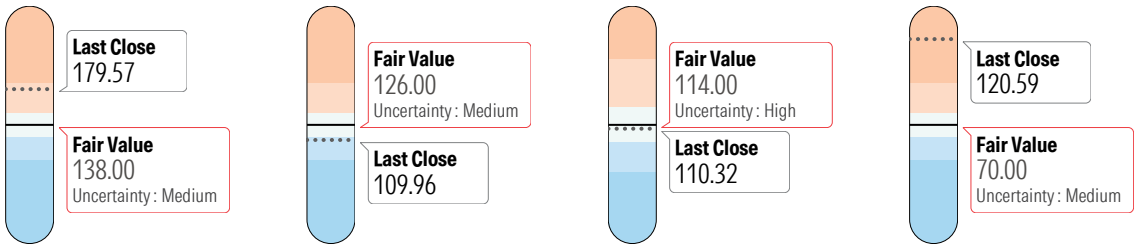
- Dollarama is well positioned to expand sales in Canada, given its dominant position and expansive store network.
- An expansive array of private-label products (60% of sales) helps Dollarama differentiate its store from

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Competitors



	Dollarama Inc DOL	Dollar General Corp DG	Dollar Tree Inc DLTR	Walmart Inc WMT
Economic Moat	Narrow	Narrow	None	Wide
Currency	CAD	USD	USD	USD
Fair Value	138.00 10 Jun 2026 17:58, UTC	126.00 10 Jun 2026 17:25, UTC	114.00 10 Jun 2026 16:42, UTC	70.00 9 Jun 2026 16:31, UTC
1-Star Price	186.30	170.10	176.70	94.50
5-Star Price	96.60	88.20	68.40	49.00
Assessment	Overvalued 11 Jun 2026	Undervalued 11 Jun 2026	Fairly Valued 11 Jun 2026	Overvalued 9 Jun 2026
Morningstar Rating	★11 Jun 2026 21:48, UTC	★★★★10 Jun 2026 05:00, UTC	★★★10 Jun 2026 05:00, UTC	★9 Jun 2026 05:00, UTC
Analyst	Brett Husslein, Analyst	Brett Husslein, Analyst	Brett Husslein, Analyst	Brett Husslein, Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	1.30	0.87	0.97	1.70
Price/Sales	6.85	0.56	1.13	1.33
Price/Book	33.74	2.74	6.13	10.18
Price/Earning	37.96	15.55	17.59	42.31
Dividend Yield	0.24%	2.15%	0.00%	0.80%
Market Cap	53.29 Bil	25.22 Bil	22.08 Bil	958.95 Bil
52-Week Range	166.00—209.96	95.11—158.23	84.71—142.40	93.43—135.16
Investment Style	Large Growth	Mid Value	Mid Blend	Large Blend

the competition and drive store traffic.

- Dollarama leverages e-commerce to fuel growth by supporting bulk purchases for corporate clients and teaming up with third-party platforms for individual shoppers.

Bears Say Brett Husslein, Analyst, 30 Mar 2026

- Dollarama faces stiff price competition from Walmart and e-commerce platforms such as Amazon and Temu.
- As its store network grows, the retail chain may face sales saturation, especially in Quebec and Ontario where store density is high.
- The acquisition in Australia may expose the retailer to material differences in the retail landscape and consumer behavior. It will likely take significant management attention and several years of store revamp and conversion to reposition the business for growth.

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Economic Moat Brett Husslein, Analyst, 2 Mar 2026

We believe dollar store chain Dollarama has built a narrow economic moat premised on intangible assets and a scale-based cost advantage. We expect the retailer's structurally advantaged business to deliver returns on invested capital (including goodwill) above our assumed 8% weighted cost of capital for more than 10 years, though we are skeptical that such excess returns can extend over a 20-year horizon, given the lack of switching costs in retail and constant competitive threats from larger retailers, including wide-moats Walmart and Amazon.

We think Dollarama has amassed an intangible asset advantage by building and reinforcing consumer relationships underpinned by value and convenience that appeal to cash-strapped and busy Canadian shoppers. Backed by strong merchandising and direct sourcing capabilities, as well as a Rolodex of reliable overseas vendors built over 30 years, Dollarama has grown its top line 11% annually over the past decade, generating 60% of its sales from private-label products. The retailer's ability to tightly manage its global vendor base was evident during the covid years. Despite widespread supply chain challenges, Dollarama still managed to drive 7% average annual sales growth with no slowdown in the pace of new store openings and stable days' inventory at 100 (in line with its 10-year average). We think Dollarama's playbook is hard to replicate, as none of its pure-play rivals in Canada (the largest four collectively own only 500 stores) has demonstrated the ability to adopt a similar approach and narrow the gap with the dollar store leader. We estimated that these smaller chains (most privately held) delivered only muted sales growth in past years on a largely flat store base.

In addition to maintaining competitive prices, we posit that strong sourcing capabilities and meticulous, data-driven product planning have enabled Dollarama to keep adding higher fixed price points and unlock new revenue opportunities without compromising its value positioning. In the past 10 years alone, the retailer added price points of CAD 3.50 and CAD 4 in 2015 and CAD 5 in 2022, with positive consumer response. Comparable same-store sales rose 7% and 12%, respectively, in the 12 months following the introduction of these higher price points, outpacing the 4%-5% comparable sales growth that tends to characterize the business, suggesting a lift from the expanded price range. Dollarama has also implemented a 25%-30% refresh rate in its product offerings, adding a treasure-hunt element that helps differentiate the shopping experience and drive repeat visits.

While we don't think Dollarama can always outcompete on price against large retailers such as Walmart (which has over 400 stores in Canada), especially in branded consumables (40% of sales), we've conducted price checks online that suggest prices are mostly comparable for Dollarama and Walmart Canada in the stock-keeping units they both offer. Moreover, the dollar store chain appeals to shoppers with a quick and easy shopping experience, made possible with compact stores (typically 8,500 selling square feet per store, versus 182,000 square feet at a Walmart store), consistent store layout, and a curated mix of 5,000 SKUs versus 100,000 SKUs at Walmart.

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We believe these value and convenience factors have combined to make Dollarama a shopping destination on its own, driving strong traffic growth and higher spending at its off-mall locations (80% of its total stores). As such, even as Dollarama expanded its store base by 62% over the past decade, average sales per store rose by a cumulative 60% to CAD 4.0 million over the same period. Over the next 10 years, we expect Dollarama can deliver annual sales growth in the high single digits, on the back of mid-single-digit same-store sales growth and 60-70 new stores each year, consistent with its historical pace of expansion.

We see Dollarama benefiting from scale-based advantages in procurement, logistics, and expense leverage. While we doubt the retailer has an edge in sourcing branded consumables against Walmart and Canadian supermarket chains, it holds considerable bargaining power in sourcing for its private-label business, which makes up 60% of sales. With warehousing and distribution facilities concentrated in Quebec, and no sales of perishable items that require frequent replenishing and cold chain delivery, the retailer can plan its distribution to maximize route efficiency. High store productivity, coupled with low store maintenance and tightly managed labor expense, also allows the retailer to achieve sizable expense leverage. As a result, Dollarama has delivered operating margins averaging 22% in the past 10 years, significantly ahead of the 9% and 6% respective averages at US peers, narrow-moat Dollar General and no-moat Dollar Tree.

Fair Value and Profit Drivers Brett Husslein, Analyst, 30 Mar 2026

We have raised our fair value estimate to CAD 138 per share from CAD 137 due to the time value of money. Our updated intrinsic valuation implies 16 times enterprise value/2027 adjusted EBITDA.

Dollarama's sales rose 22% in the third quarter, led by 6% same-store sales growth, a 5% rise in store count in Canada, and sales contribution from the acquisition in Australia. However, EBITDA rose only 20% as margins narrowed 50 basis points to 32.1% on an unfavorable mix from Australia. In Canada, comp sales growth nearly doubled from 3% a year ago, though we think the metric was inflated by a calendar shift around Halloween. As such, we plan to hold our 4.5% comp sales forecast for 2026, in line with the firm's 4.2%-4.7% outlook. Our constructive view on the growth outlook in Latin America was reaffirmed by a 57% jump in equity income from majority-owned Dollarcity and ICM. We expect Dollarama's retail expertise to continue to buoy at least high-single-digit store growth and boost comp sales in the coming years.

For fiscal 2026, after incorporating third-quarter results and the TRS acquisition in Australia, we model sales rising 14.4% to CAD 7.3 billion and adjusted EPS growing 13.9% to CAD 4.74.

Over the 10-year period, we expect revenue to grow by 9% on average each year, largely driven by mid-single-digit same-store sales growth and 60-65 new store openings each year in the core Canadian

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business (over 90% of sales). Consistent with Dollarama's growth initiatives over the past 20 years, we have modeled the firm to add higher fixed-price points of CAD 5.50 and CAD 6 in 2029 and 2030, which we expect will elevate same-store sales growth to 7% and 8%, respectively, for those years. Excluding that, we view same-store sales growth of 4%-5% as achievable on a balanced mix of higher transaction counts and a larger average basket size. We model 65 new stores each year, which aligns with management's outlook for 2,200 stores by 2034. We expect about half of the new stores will be in Quebec and Ontario, while the retailer steps up efforts to scout for more locations in the western provinces that remain underpenetrated by dollar stores. Our forecasts on same-store sales growth and new store openings translate into 4% annual growth in sales per store over the next 10 years, which we view as reasonable after factoring in inflation, contributions from higher price points, and sales productivity improvements at new stores. For Australia, we expect sales growth to come mainly from better store productivity with merchandising and revamps in existing stores in the next two to three years, but expect a combination of same-store sales expansion and new stores to fuel low-teen sales expansion over the second half of our forecast period. We expect Canada to make up roughly 9% of total sales by fiscal 2035.

We model operating margin to be roughly flat in 2035, compared with 24.6% in 2025, as we expect a slight gross margin lift from the introduction of higher price points and better sourcing efficiency to be offset by expense deleverage stemming from the Australian business. By region, we expect the well-managed Canadian business to hold operating margins at 25% throughout the forecast period, but we see margin drag from Australia. We model only low teens average operating margins in Australia over the next five years, given significant investments in stores, merchandising, and logistics, although we expect the metric to rise to the high teens in 2031 and onward as stronger topline growth lifts operating efficiencies.

Risk and Uncertainty Brett Husslein, Analyst, 2 Mar 2026

We assign a Medium Morningstar Uncertainty Rating to Dollarama. While we view the low fixed price points at the dollar store chain as providing insulation from economic cyclicality, about 60% of revenue is generated from general merchandise items and seasonal and party goods that are discretionary spending in nature. As such, we believe the retail chain remains exposed to consumer belt-tightening amid a severe economic downturn in Canada.

Further, as it operates in the competitive retail market, Dollarama must compete constantly with larger brick-and-mortar and e-commerce retailers for shopper traffic and spending. Given its mostly off-mall locations, if consumer preference shifts more to one-stop shopping that favors large retailers, including Walmart and the supermarket chains in Canada, Dollarama may face headwinds to grow store traffic and sales.

The private-label products that help Dollarama differentiate from the competition are largely sourced

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from overseas vendors that are mostly based in Asia. This can subject the retailer to fluctuations in shipping rates and foreign currencies, in addition to changes in export and import regulations. In addition, as Amazon, Temu, and other e-commerce platforms sharpen their focus on value offerings, Dollarama may need to compete for vendors with the best scale and quality control, which could weaken the retailer's bargaining power in sourcing.

As a top retail brand across Canada, Dollarama is exposed to scrutiny thanks to the ubiquity of mobile phones and social media. Any consumer experience, social, or sustainability practice that is perceived to be inconsistent with the company's positioning could damage consumer perception of the firm and consequently sales and profits. That said, we don't envision environmental, social, and governance risks will materially affect Dollarama's operating performance or investment returns over the long term.

Capital Allocation Brett Husslein, Analyst, 2 Mar 2026

We assign a Standard Morningstar Capital Allocation Rating to Dollarama, based on our view that the company has a sound balance sheet, a fair record of investments for long-term value creation, and an appropriate shareholder distribution practice with cash dividends and repurchases.

We see Dollarama as in good financial health. Its balance sheet is solid, with net debt/adjusted EBITDA averaging 1.2 times in the past five years, and we expect the metric to average below this level for the next five years. This, coupled with steady cash flows to the firm over the next five years (estimated at 16.5% of sales on average), gives us confidence that the company is well-positioned to withstand economic cyclicality and invest in long-term growth.

We think Dollarama has invested prudently, expending 15% of sales on selling and labor expenses annually in the past five years, in addition to 4% of sales toward capital expenditures to add new stores, renovate existing ones, and expand warehousing and distribution capacity. These investments have helped Dollarama deliver 11% annual sales growth for the period, as well as returns on invested capital (including goodwill) averaging 25% relative to its 8.5% cost of capital. Over the next 10 years, we expect the retailer to stick to its investment playbook, allocating 14%-15% of sales to selling and labor expenses and another 4% in capital expenditures to open 60-70 new stores each year in Canada in addition to 25 new stores in Australia, in addition to expanding warehouses and distribution facilities to support the growing store network.

Dollarama bought small dollar stores in the early years but has not made purchases in the past 10 years, with goodwill on the balance sheet staying flat. It invested roughly CAD 120 million in 2019 for a 50.1% stake in Dollarcity, a Latin American value retailer, and reported the investment based on the equity method. Valuation looked undemanding at 0.8 times Dollarcity's 2018 sales and 5 times enterprise value/EBITDA. The firm further boosted its stake in Dollarcity to 60% in 2024 by issuing shares valued at over CAD 700 million. Over the past five years, based on company disclosures of its share of net earnings from Dollarcity, we estimate that the Latin American retail chain grew profits at

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an impressive 83% each year. We think Dollarama is prudent to tap growth opportunities in Latin America via the Dollarcity investment and expect it to leverage its sourcing and store management expertise to help the latter accelerate sales and profit growth in the coming years.

In 2025, the firm paid CAD 234 million to buy Australian retail chain The Reject Shop (with 395 stores), at roughly 9 times enterprise value/EBITDA, which we don't consider cheap given the latter's poor operating results in recent years. We don't expect a material profit contribution from Australia in the coming years, given multiyear plans for store conversions and merchandising changes.

Dollarama has returned a total of CAD 7 billion in buybacks and CAD 600 million in regular cash dividends over the past 10 years. Given the cash-generative nature of its business, we expect Dollarama to steadily grow dividends over the next decade, with the payout ratio rising to 20% by fiscal 2035 (from 9% in fiscal 2025. Given its record of consistent share buybacks, we expect the firm to continue to repurchase shares in the coming years. We stick to our view that buybacks create value for shareholders only when executed at market prices below our intrinsic value.

Analyst Notes Archive

Dollarama Earnings: Strong Performance in Canada and Latin America, but Australia Still a Drag Dan Su, CFA,Equity Analyst,11 Dec 2025

Dollarama's sales rose 22% in the third quarter led by 6% same-store sales growth, a 5% rise in store count in Canada, and sales contribution from the acquisition in Australia. However, EBITDA rose only 20% as margins narrowed 50 basis points to 32.1% on an unfavorable mix from Australia. Why it matters: Strong merchandising and a value focus drove solid growth in traffic (up 4.1%) and basket size (1.9%) in Canada despite a soft consumer backdrop. The sequential improvements in sales of seasonal items should bode well for a strong holiday shopping season. Canada's comp sales growth nearly doubled from 3% a year ago, though we think the metric was inflated by a calendar shift around Halloween. As such, we plan to hold our 4.5% comp sales forecast for 2026, in line with the firm's 4.2%-4.7% outlook. Our constructive view on the growth outlook in Latin America was reaffirmed by a 57% jump in equity income from majority-owned Dollarcity and ICM. We expect Dollarama's retail expertise to continue to buoy at least high-single-digit store growth and boost comp sales in the coming years. The bottom line: Our CAD 125 fair value estimate for narrow-moat Dollarama will likely rise by a mid-single-digit percentage on strong results. Even so, shares look rich, trading at a 50% premium as investors seem to underestimate the risks of price competition and sales saturation in Canada. We hold our 2026 estimates for CAD 7.0 billion sales and CAD 4.70 adjusted EPS, but we plan to tick up our 2027 EPS estimate of CAD 5.39 to reflect higher profits from the Latin American subsidiaries. We continue to expect minimal profit contribution from Australia the next few years. We maintain our 10-year forecasts for 8% sales growth and 25% operating margin. We assume the introduction of higher price tiers will keep comp sales at 5% and the new Alberta distribution center will support more stores in Western

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Dollarama Inc DOL ★ 11 Jun 2026 21:48, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
179.57 CAD 10 Jun 2026	138.00 CAD 30 Mar 2026 21:58, UTC	1.30	53.29 CAD Bil 11 Jun 2026	Narrow	Large Growth	Medium	Standard

Canada, keeping the firm on track to add 70-80 stores per year.

Dollarama Earnings: Solid Results but Demand for Seasonals Softened; Shares Expensive Dan Su, CFA,Equity Analyst,27 Aug 2025

Dollarama's sales rose 10.3% in the second quarter of fiscal 2026 led by 4.9% same-store sales growth and a 5.2% rise in store count in Canada. EBITDA rose 12% as margins widened 60 basis points to 34.1%. Shares fell 4% after the report on Aug. 27. Why it matters: Value positioning and expanded assortment drove growth in traffic (up 3.9%) and basket size (0.9%), led by consumables. However, we see flat summer sales of seasonals as suggesting softer sentiment in Canada that may weigh on demand during the important holiday season. We think consumer caution and higher promotional intensity from wide-moat Walmart and no-moat Loblaw likely led management to hold the 2026 comp sales outlook at 3% to 4%, despite a 4.9% pace in the first half. We view the target as conservative and plan to tick up our 4% forecast. International expansion remained on track, with the closure of acquisition in Australia and the first store in Mexico via majority-owned Dollarcity. Strength in Latin America led to a 69% jump in equity income for Dollarama, but we see limited profits from Australia given a multiyear transition plan. The bottom line: We plan to raise our CAD 115 fair value estimate for narrow-moat Dollarama by a mid-single-digit percentage on solid results and time value. Shares look overvalued trading at 40 times our 2026 EPS estimate as the market prices in overly optimistic long-term growth assumptions. For 2026, our sales growth forecast will likely rise to 8.0% from 7.6%, on 4.3% comp sales growth (from 4% prior) largely led by traffic and 80 net new stores (75), at the top end of the 70-80 target as the retailer already opened 49 in the first half. We forecast 8% sales growth and 25% operating margin over the 10-year period, with the Canadian business remaining the key source of profit growth and cash generation. Our sales forecast has incorporated management's target for 2,200 stores in Canada and 700 stores in Australia by 2034.

Dollarama Earnings: Strong Results on Same-Store Sales Growth Amid Macro Headwinds, but Shares Rich Dan Su, CFA,Equity Analyst,11 Jun 2025

Dollarama's sales rose 8% in the first quarter of fiscal 2026, led by 5% same-store sales growth. Adjusted operating profit grew 16% as margin expanded 160 basis points to 22.9%. The shares rose nearly 10% on June 11 after the report.Why it matters: Despite weak consumer sentiment in Canada, Dollarama has reinforced its appeal among increasingly frugal shoppers by leveraging value pricing, expanded assortments, and a multiprice strategy. Its shopper appeal was evidenced by healthy trends in traffic (up 3.7%) and average ticket (up 1.2%), which we attribute mainly to higher demand for branded consumables in smaller pack sizes and lower prices. While the higher mix of consumables is likely a margin headwind, we expect this to be more than offset by more-efficient logistics, lower shrink, and labor and store expense leverage, driving operating margin to 24.8% in 2026 from 24.6% a year ago.The bottom line: We plan to tick up our CAD 115 fair value estimate for narrow-moat Dollarama by a

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low-single-digit percentage. The shares look expensive, trading at more than 40 times our 2026 EPS estimate as investors price in overly optimistic long-term sales growth assumptions. For 2026, we forecast same-store sales to rise 4%, led primarily by traffic, which sits at the top end of the firm's 3%-4% outlook range. This, coupled with 75 net new stores (the midpoint of the target for 70-80 stores), led to our 7.6% sales growth forecast. We view our 10-year assumptions for 8% sales growth and 25% operating margin as realistic. Our estimates incorporate mid-single-digit same-store sales growth annually, including an expected lift from a new price tier of $6 to be added in 2029, and 65 new stores each year.Coming up: We view the retailer's Mexican debut this summer via subsidiary Dollarcity as a prudent move to tap growth in this sizable market but remain skeptical about the acquisition of Reject Shop (set to close in July), given its lack of experience in distant Australia.

Dollarama Earnings: Strong 2025 Performance Powered by Comparable-Sales Growth but Shares Rich Dan Su, CFA,Equity Analyst,3 Apr 2025

Narrow-moat Dollarama posted better-than-expected fiscal 2025 results, with sales and earnings per share up 9% and 17%, respectively, outpacing our respective projections of 8% and 11%. We attribute the outperformance to the 4.6% comp sales growth (above our 4.5% estimate) and cost discipline.For fiscal 2026, the firm has hiked its new-store-opening target to 70-80, higher than its usual range of 60-70 and our estimate of 65, as Dollarama takes advantage of other retailers' exits. On comp store sales, it calls for growth to moderate to 3%–4% (versus our 4% estimate), which looks reasonable following a two-year comp stack of 17.4%. Management's projection for modest margin gains on a better mix and expense leverage is in line with our estimate. Our CAD 106 fair value estimate will likely rise by a mid-single-digit percentage on strong 2025 results and faster 2026 store expansion, but shares remain expensive, trading at more than 30 times next year's earnings.In the coming years, we expect the chain to actively explore growth outside its traditional strongholds of Quebec and Ontario. Since announcing the plan last December to build a new distribution hub in Calgary for underpenetrated western Canada, the retailer has purchased land for CAD 47 million and expects construction to start this summer and be completed in 2027. The firm is also poised to leverage its sourcing and operational expertise to increase its majority-owned subsidiary Dollarcity in Latin America. The chain operates 632 stores across Colombia, Peru, El Salvador, and Guatemala, plans to enter Mexico this summer, and targets 1,000 stores by 2031.However, we are not as enthusiastic about Dollarama's proposal last week to pay CAD 233 million for 390-store discount retailer Reject Shop in Australia. Given Dollarama's lack of experience in Australia and Reject Shop's persistent weakness, we think this new deal will likely be a distraction rather than a value-creation opportunity.

Dollarama Earnings: New Distribution Center Speeds up Expansion in Western Canada but Shares Rich Dan Su, CFA,Equity Analyst,4 Dec 2024

We are encouraged by narrow-moat dollar store chain Dollarama's announcement to build a new

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distribution center in Calgary by fiscal 2028. This should speed up store expansion in underpenetrated Western Canada and ease reliance on the traditional strongholds of Quebec and Ontario, where we see risks of saturation after 30 years of growth. That said, we expect only a slight uptick in our store count estimate, as the updated guidance for 2,200 stores by fiscal 2034 is less than 1% higher than the 2,186 stores we had penciled in at the end of the 10-year forecast period. This, coupled with earnings in the third quarter that should keep the retailer on track to meet our fiscal 2025 expectation for sales and earnings per share growth of 7% and 11%, respectively, have led us to leave our CAD 106 fair value estimate unchanged. Shares fell 6% on Dec. 4 but remained expensive, trading at over 30 times next year's earnings.For the quarter, sales and adjusted EPS rose 5.7% and 6.5%, respectively, in line with FactSet consensus estimates. While same-store sales growth of 3.3% looked light, it was against the tough comparison (11%) in the year-ago quarter when sales benefited from the introduction of higher-price tiers. We believe Dollarama's value positioning, strong merchandising, and constant product refresh continued to resonate with cautious Canadian consumers. Operating margins fell 60 basis points to 24.3%, as labor expense leverage was more than offset by logistics cost inflation and a higher sales mix of lower-margin consumables. We think highly productive stores and tight expense management should keep this metric at 24% for fiscal 2025.Regarding the new distributor center in Calgary, Dollarama expects to close the CAD 47 million land purchase within the next three months, and spend CAD 450 million over the next three years to build out the 1.6 million square feet logistics and distribution hub.

Dollarama: Steadfast Focus on Value and Convenience Fuels Sales, Even as Competitive Challenges Loom Dan Su, CFA,Equity Analyst,22 Nov 2024

We initiate coverage on Canadian dollar store chain Dollarama with a narrow economic moat rating based on the retailer's intangible assets as well as cost advantages from its sourcing and distribution scale. Our fair value estimate stands at CAD 106 per share, which implies 16 times enterprise value to 2026 adjusted EBITDA. Shares look expensive trading at a 39% premium to our intrinsic valuation. Given the competitive intensity in retail, we don't think the stock price has incorporated realistic growth and margin assumptions for the retailer in the coming years.We model Dollarama to grow revenue at an 8% compounded annual rate over our 10-year explicit forecast period, driven by mid-single-digit same-store sales growth and 60 to 65 new store openings each year. Consistent with practices the past 20 years, we expect the firm to add higher fixed price points of CAD 5.50 and CAD 6.00 in 2029 and 2030, which we expect will elevate same-store sales growth to around 8% for the two years. Excluding that, we view a 5% average same-store sales growth as achievable on a balanced mix of higher transaction counts and a larger average basket size. For new store openings, we model 65 new stores each year between 2025 and 2031, which squares with management's updated outlook for 2,000 stores by 2031. We expect about half of the new stores will be in Quebec and Ontario, while the retailer also steps up efforts to scout for more locations in the western provinces that remain underpenetrated by dollar

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stores.On profitability, we forecast operating margins to widen to 25.4% by 2032, versus 24.2% in 2024, with the bulk of gains on the gross margin line (up 100 basis points) thanks to efficiency improvement in procurement and logistics and a lift from higher price points to be introduced in the coming years. In addition, we expect moderate leverage on the selling and labor cost line, with such expenses representing 14.1% of sales in 2034, down from 14.4% in 2024.

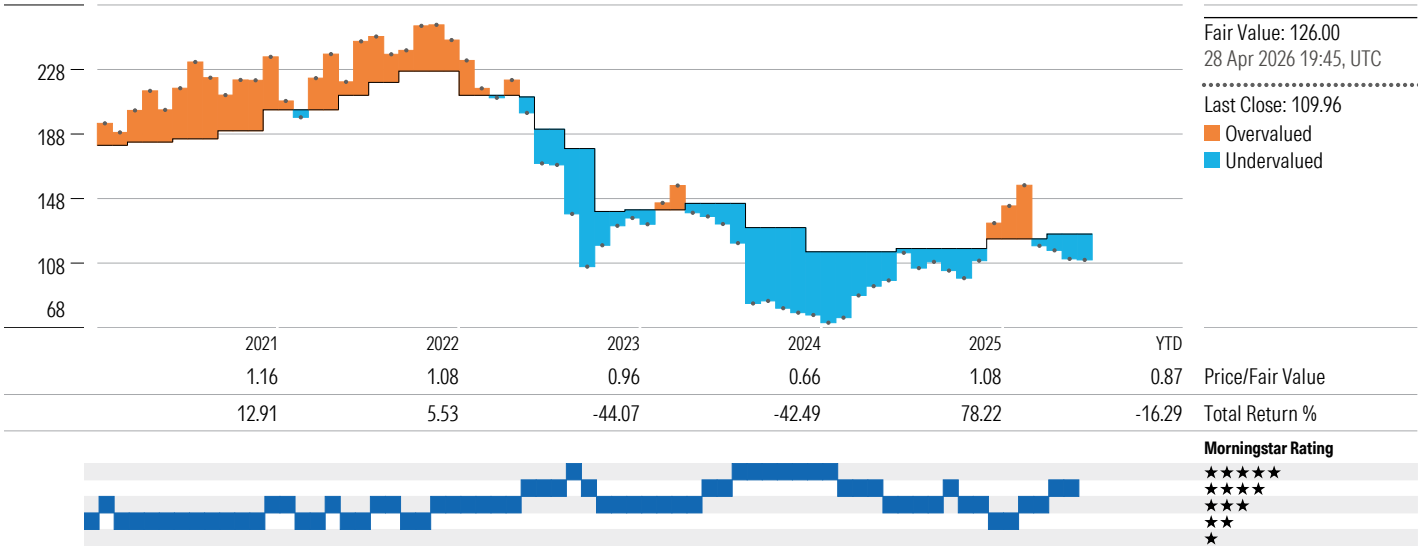
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Competitors Price vs. Fair Value

Dollar General Corp DG

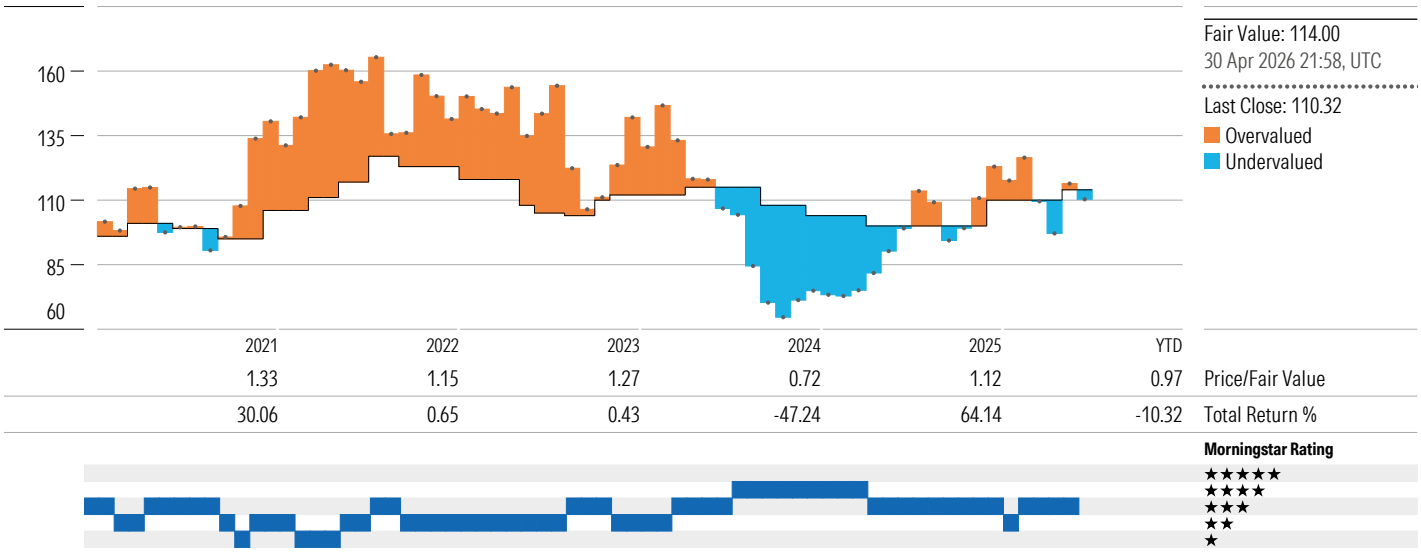


	2021	2022	2023	2024	2025	YTD	
	1.16	1.08	0.96	0.66	1.08	0.87	Price/Fair Value
	12.91	5.53	-44.07	-42.49	78.22	-16.29	Total Return %

Morningstar Rating

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 28 Apr 2026 19:45, UTC.

Dollar Tree Inc DLTR



	2021	2022	2023	2024	2025	YTD	
	1.33	1.15	1.27	0.72	1.12	0.97	Price/Fair Value
	30.06	0.65	0.43	-47.24	64.14	-10.32	Total Return %

Morningstar Rating

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 30 Apr 2026 21:58, UTC.

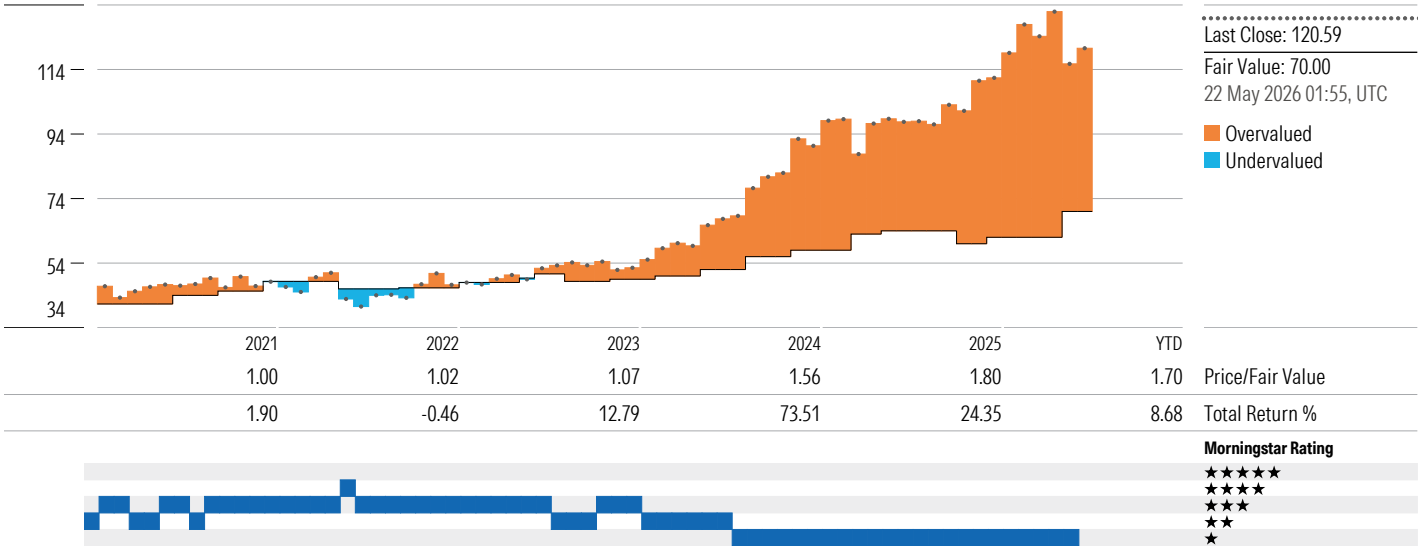
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Competitors Price vs. Fair Value

Walmart Inc WMT



	2021	2022	2023	2024	2025	YTD	
	1.00	1.02	1.07	1.56	1.80	1.70	Price/Fair Value
	1.90	-0.46	12.79	73.51	24.35	8.68	Total Return %

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 22 May 2026 01:55, UTC.

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Morningstar Valuation Model Summary

Financials as of 30 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Jan	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (CAD Mil)	5,053	5,867	6,413	7,340	8,085	8,697	9,580	10,626
Operating Income (CAD Mil)	1,146	1,420	1,581	1,733	1,850	2,026	2,267	2,547
EBITDA (CAD Mil)	1,523	1,861	2,122	2,387	2,652	2,922	3,298	3,755
Adjusted EBITDA (CAD Mil)	1,523	1,861	2,122	2,387	2,652	2,922	3,298	3,755
Net Income (CAD Mil)	802	1,010	1,169	1,314	1,449	1,634	1,884	2,186
Adjusted Net Income (CAD Mil)	802	1,010	1,169	1,314	1,449	1,634	1,884	2,186
Free Cash Flow To The Firm (CAD Mil)	614	1,114	1,210	1,242	1,258	1,513	1,535	1,781
Weighted Average Diluted Shares Outstanding (Mil)	291	284	281	277	276	272	268	263
Earnings Per Share (Diluted) (CAD)	2.76	3.56	4.16	4.74	5.26	6.00	7.03	8.30
Adjusted Earnings Per Share (Diluted) (CAD)	2.76	3.56	4.16	4.74	5.26	6.00	7.03	8.30
Dividends Per Share (CAD)	0.22	0.28	0.37	0.42	0.58	0.74	0.90	1.10

Margins & Returns as of 30 Mar 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	25.3	22.7	24.2	24.7	23.6	22.9	23.3	23.7	24.0	27.3
EBITDA Margin %	—	30.2	31.7	33.1	32.5	32.8	33.6	34.4	35.3	—
Adjusted EBITDA Margin %	—	30.2	31.7	33.1	32.5	32.8	33.6	34.4	35.3	33.7
Net Margin %	17.1	15.9	17.2	18.2	17.9	17.9	18.8	19.7	20.6	23.3
Adjusted Net Margin %	17.1	15.9	17.2	18.2	17.9	17.9	18.8	19.7	20.6	19.0
Free Cash Flow To The Firm Margin %	16.7	12.2	19.0	18.9	16.9	15.6	17.4	16.0	16.8	16.5

Growth & Ratios as of 30 Mar 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	14.0	16.7	16.1	9.3	14.5	10.2	7.6	10.2	10.9	10.6
Operating Income Growth %	18.4	20.5	23.9	11.3	9.7	6.7	9.5	11.9	12.4	10.0
EBITDA Growth %	16.2	18.8	22.2	14.0	12.5	11.1	10.2	12.9	13.9	11.8
Adjusted EBITDA Growth %	18.3	18.8	22.2	14.0	12.5	11.1	10.2	12.9	13.9	12.1
Earnings Per Share Growth %	24.1	26.5	29.0	17.0	13.9	11.0	14.2	17.1	18.1	14.8
Adjusted Earnings Per Share Growth %	24.1	26.5	29.0	17.0	13.9	11.0	14.2	17.1	18.1	14.8

Valuation as of 30 Mar 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	—	29.5	36.3	37.9	34.1	29.9	25.5	21.6
Price/Sales	—	6.6	7.8	6.7	6.0	5.6	5.1	4.6
Price/Book	—	78.3	35.7	28.9	20.5	15.5	12.4	10.1
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	23.1	26.1	22.6	20.3	18.5	16.4	14.4
EV/EBIT	—	30.2	35.0	31.1	29.2	26.6	23.8	21.2
Dividend Yield %	—	0.3	0.3	0.2	0.3	0.4	0.5	0.6
Dividend Payout %	8.0	8.0	8.8	8.9	11.1	12.4	12.9	13.3
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 30 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Jan	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	19.2	18.0	18.0	18.8	19.7	20.7	22.0	22.8
ROE %	265.3	98.3	76.2	60.1	52.0	48.5	46.7	45.3
ROIC %	27.6	28.8	28.2	26.4	26.9	27.7	28.3	28.3

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	9.0	7.5	5.6	6.5	5.4	4.7	4.4	4.1
Assets/Equity	169.6	13.8	5.5	4.2	3.2	2.6	2.3	2.1
Net Debt/EBITDA	1.4	1.0	1.0	1.1	0.9	0.7	0.6	0.5
Total Debt/EBITDA	1.5	1.2	1.1	1.1	0.9	0.7	0.7	0.6
EBITDA/ Net Interest Expense	13.2	12.8	13.0	13.9	15.6	16.7	18.3	20.2

Forecast Revisions as of 30 Mar 2026	2026		2027		2028	
Prior data as of 2 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	138.00	137.49	—	—	—	—
Revenue (CAD Mil)	7,340	7,340	8,085	8,085	8,697	8,697
Operating Income (CAD Mil)	1,733	1,733	1,850	1,850	2,026	2,026
EBITDA (CAD Mil)	2,387	2,387	2,652	2,652	2,922	2,922
Net Income (CAD Mil)	1,314	1,314	1,449	1,449	1,634	1,634
Earnings Per Share (Diluted) (CAD)	4.74	4.74	5.26	5.26	6.00	6.00
Adjusted Earnings Per Share (Diluted) (CAD)	4.74	4.74	5.26	5.26	6.00	6.00
Dividends Per Share (CAD)	0.42	0.42	0.58	0.58	0.74	0.74

Key Valuation Drivers as of 30 Mar 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	8.5
Long-Run Tax Rate %	25.0
Stage II EBI Growth Rate %	6.5
Stage II Investment Rate %	34.5
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 30 Mar 2026

	CAD Mil
Present Value Stage I	10,788
Present Value Stage II	5,605
Present Value Stage III	20,625
Total Firm Value	**37,018**
Cash and Equivalents	123
Debt	2,283
Other Adjustments	0
Equity Value	**34,858**
Projected Diluted Shares	277
Fair Value per Share (CAD)	**138.00**

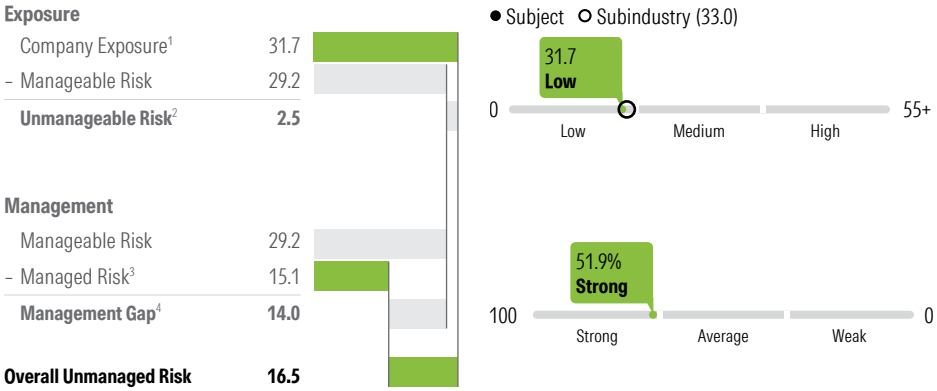
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Dollarama Inc DOL ★ 11 Jun 2026 21:48, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
179.57 CAD 10 Jun 2026	138.00 CAD 30 Mar 2026 21:58, UTC	1.30	53.29 CAD Bil 11 Jun 2026	Narrow	Large Growth	Medium	Standard

ESG Risk Rating Breakdown



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Jun 06, 2026. Highest Controversy Level is as of Jun 08, 2026. Sustainalytics Subindustry: Department Stores. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 51.9% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 06 Jun 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Dollarama Inc	31.7 | Low	0	55+	51.9 | Strong	100	0	16.5 | Low	0	40+
Walmart Inc	43.1 | Medium	0	55+	61.3 | Strong	100	0	18.6 | Low	0	40+
Dollar General Corp	34.4 | Low	0	55+	46.7 | Average	100	0	19.6 | Low	0	40+
Dollar Tree Inc	35.3 | Medium	0	55+	58.7 | Strong	100	0	16.3 | Low	0	40+
Loblaw Companies Ltd	45.3 | Medium	0	55+	56.9 | Strong	100	0	21.5 | Medium	0	40+

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Appendix

Historical Morningstar Rating

Dollarama Inc DOL 10 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★	★★	★★	★★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★	★	★	★	★	★	★	★	★	★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★	—	—	—	—	—	—	—	—	—	—
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Dollar General Corp DG 10 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★★	★★★★	★★★	★★★	★★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★★	★★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★★	★★★★★	★★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★	★★	★★★	★★★	★★	★★	★★★	★★	★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★

Dollar Tree Inc DLTR 10 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★★	★★★	★★★	★★★	★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★★	★★★	★★	★★	★	★	★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★	★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★★

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Walmart Inc WMT 9 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★	★	★	★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★	★	★	★	★	★	★	★	★	★	★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★	★	★	★	★★	★★	★★	★★	★★	★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★	★★★	★★★	★★	★★	★★★	★★★	★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

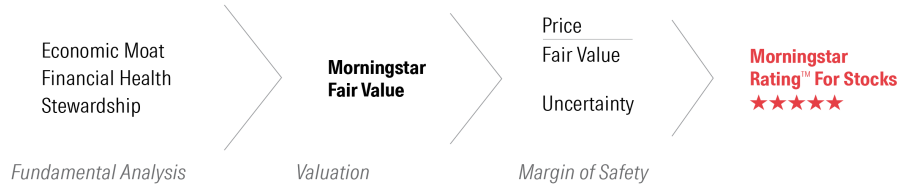
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

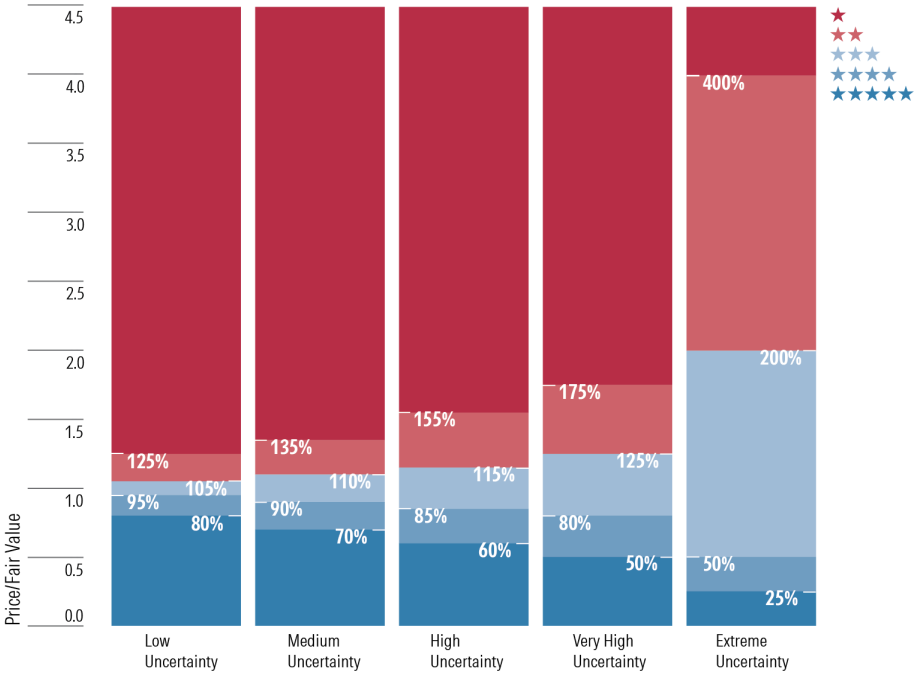
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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